

Before the
FEDERAL MARITIME COMMISSION

Docket No. 22-21

MSRF, Inc.,

v.

Yang Ming Transport Corporation

YANG MING MARINE TRANSPORT CORPORATION

ORIGINAL VERIFIED ANSWER

Respondent Yang Ming Marine Transport Corporation (“Yang Ming”),¹ by and through its undersigned counsel, files this Original Verified Answer (“Answer”) to the Complaint in the above-captioned proceeding (“Complaint”) and responds as follows.

I. INTRODUCTORY STATEMENT

The Complaint in this proceeding is so vague as to make reasonable answer by Yang Ming impossible. Among other things, the Complaint alternately refers to a service contract

¹ The Complaint identifies Respondent as “Yang Ming Transport Corporation” rather than “Yang Ming Marine Transport Corporation.” Respondent may agree to treat it *nuc pro tunc* corrected.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

singular (e.g. Complaint Para. 7, 9, 11, 23, 24,² 25, 49, 51, 53, 55) and to unspecified service contracts plural (e.g., Complaint Para. 12, 18, 19, 20, 22, 56, Prayer for Relief 2). Yang Ming is thus necessarily unclear about the scope of both the claimed violations and the factual allegations said to support them. Accordingly, for many of the Complaint’s allegations, Yang Ming can only state below that it lacks information sufficient to answer.

Further, to the extent that the Complaint is about Service Contract number SC 494721, it is necessarily founded on the unprecedented assertion that an ocean common carrier may be found to have violated the Shipping Act with respect to a service contract *commitment even though it exceeded its obligations under the contract* – carrying more than the minimum quantity, which it was not required to do by the contract. Any harm experienced by MSRF was as a result of its own failures or inaction. Attached as Confidential Exhibits 1 and 2 are true copies of the final amendments to the Service Contract number SC 494721, which may be officially noticed by the Presiding Officer and the Commission as they are on file at the Federal Maritime Commission (“FMC”). As amended, the total minimum quantity commitment (“MQC”) under that Service Contract was a total of [] twenty-foot equivalent units (TEUs) – [] TEUs eastbound and [] TEUs westbound. See Confidential Exhibits 1 and 2. Yang Ming provided service above and beyond the MQC in each direction – it provided space to Complainant and transported for Complainant [] TEU Eastbound and [] TEU Westbound. See Confidential Exhibits 1 and 2. Although this alone puts paid the Complaint, we nevertheless go on to answer, as best we can, the specific allegations of the Complaint, to present Yang

² Paragraph 24 of the Complaint does refer to a specific service contract (SC 494721), but Yang Ming does not know if that is the subject of all references to a singular service contract and what other contracts may be included in the references to plural service contracts.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

Ming’s defenses and affirmative defenses, and to set forth Yang Ming’s request for relief against Complainant.

II. RESPONSE TO ALLEGATIONS

1. Complainant MSRF, Inc. (“MSRF”), by its undersigned counsel, brings this Verified Complaint against Respondent Yang Ming Transport Corporation (“Yang Ming”), pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to MSRF caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the “Shipping Act”), alleged herein.

ANSWER: Respondent Yang Ming denies the allegations of Allegation 1, except that Yang Ming admits that Complainant has brought a complaint against it.

2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including Respondent named herein, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, vastly increasing their profitability at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

ANSWER: Respondent Yang Ming denies the allegations of Allegation 2.

3. Upon information and belief, the bulk of ocean carriage secured by shippers has traditionally been pursuant to written service contracts, negotiated in advance at reasonable rates. Although a “spot market” for ocean carriage also exists, historically it has been used, upon information and belief, primarily by smaller shippers making small and/or one-time shipments, or for unexpected needs, such as a one-time or seasonal increase in shipping needs for a larger shipper.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

ANSWER: Respondent Yang Ming denies the allegations of Allegation 3, except that it admits there is a “spot market” for ocean transportation.

4. Even with currently reviving demand, however, global ocean carriers have not returned to the just and reasonable pricing and contracting practices of pre-pandemic times. Instead, they have continued policies and practices that manipulate prices and deliver unprecedented windfall profits to them by forcing shippers into an artificially inflated spot market. A container that in 2019 might have cost approximately \$2,700 to ship from China to the West Coast of the United States now might cost \$25,000 or more on the spot market.

ANSWER: Respondent Yang Ming denies the allegations of Allegation 4.

5. MSRF has experienced this misconduct by global ocean carriers firsthand. Respondent agreed to a service contract with MSRF and then refused to provide more than a fraction of the cargo capacity that MSRF requested and needed, even though Respondent overall has continued to operate at or near pre-pandemic capacity.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 5 refers to SC 494721, Yang Ming denies the allegations, except that it admits it has entered into service contracts with Complainant. Yang Ming specifically denies that it refused to provide contractually required space to Complainant. Yang Ming is without knowledge or information to respond as to other ocean common carriers or as to what Complainant may or may not have experienced.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

6. To make matters worse, Respondent then proceeded to engage in a practice of refusing to perform its full commitment under the service contract, instead forcing MSRF to buy space on the inflated spot market.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 6 refers to SC 494721, Yang Ming denies Allegation 6.

7. MSRF's written service contract with Respondent included minimum quantity commitments ("MQC") by MSRF to Respondent to tender cargo from various points in Asia for Respondent to transport via ocean vessels to the United States at agreed intervals and for agreed prices.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 7 refers to SC 494721, Yang Ming admits that its service contract with MSRF included an MQC and agreed prices.

8. By definition, the service contract required Respondent to "commit[]" to a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation, or similar service features.

ANSWER: Respondent Yang Ming states that Allegation 8 is a conclusion of law, to which no response is required. To the extent that a response is required, Yang Ming asserts that the Shipping Act and the FMC regulations are the best evidence of what they require.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

9. Shortly after entering into the service contract with MSRF, Respondent began breaching its contractual service commitments by providing MSRF with hardly any of the agreed allotments of space on their respective ocean vessels, and instead forcing MSRF to make alternate transportation arrangements at substantially higher spot market prices.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 9 refers to SC 494721, Yang Ming denies the allegations.

10. In so doing, Respondent has unjustly and unreasonably disrupted the previously stable and well-established structure of the global ocean freight industry. Now, instead of securing reliable service contracts in advance, MSRF is forced to (1) agree in advance to exorbitant rates for whatever portion of its needed capacity global ocean carriers are willing to cover with service contracts, (2) make up the difference on the spot market, and then (3) rush to the spot market again each time Respondent refuses to honor its limited service commitments.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 10 refers to SC 494721, Yang Ming denies the allegations.

11. In the May–December 2021 period, Respondent breached its contractual service commitment, providing MSRF only 4 of 100 containers agreed in the service contract.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract referenced therein. To the extent Allegation 11 refers to SC 494721, Yang Ming denies the allegations. Yang

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

Ming specifically denies that it had any obligations relating to the period May-December 2021, as that was not the contract term.

12. Complainant MSRF is a corporation organized under the laws of the State of Delaware with its principal place of business located at 9815 Leland Avenue, Schiller Park, Illinois 60176. MSRF is a “shipper” under its Service Contracts with Respondent pursuant to 46 U.S.C. 40102(23). MSRF was founded in 1995 as a manufacturer and importer of gourmet foods and food gifts. The company’s seasonal and holiday products are sold in big box retailers throughout the U.S. MSRF also sells products licensed by Starbucks, Jim Beam and other prominent brands.

ANSWER: Respondent Yang Ming is without knowledge or information to respond to Allegation 12. In particular, Yang Ming is without knowledge or information sufficient to respond to allegations about “its Service Contracts with Respondent,” as the Complaint does not identify the service contracts referenced therein. To the extent Allegation 12 refers to SC 494721, Yang Ming admits that Complainant was a shipper in relation to Yang Ming under that service contract.

13. Upon information and belief, Respondent Yang Ming is a company organized under the laws of the Taiwan. Yang Ming is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with organization number 000138. Yang Ming’s North American general agent, Yang Ming (America) Corp., is located at 1085 Raymond Boulevard, 9th Floor, Newark, New Jersey 07102.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

ANSWER: Respondent Yang Ming admits the allegations of Allegation 13 but clarifies that Yang Ming (America) Corp. is not an ocean common carrier, is not subject to the jurisdiction of the FMC, and is not a Respondent herein.

14. The Federal Maritime Commission (“FMC”) has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: Respondent Yang Ming denies Allegation 14 that the FMC has jurisdiction as to the Complaint.

15. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into service contracts, as that term is defined by 46 U.S.C. Section 40102(21), with MSRF.

ANSWER: Respondent Yang Ming admits Allegation 15 that the FMC has personal jurisdiction over Yang Ming but denies that personal jurisdiction is related to or because of Yang Ming having entered into service contracts with Complainant.

16. Respondent’s actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF, in violation of 46 U.S.C. Section 41102(c).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 16 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

17. Respondent's actions alleged herein constitute the provision of service in the liner trade that is not in accordance with the rules and practices contained in its service contract with MSRF, in violation of 46 U.S.C. Section 41104(a)(2).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 17 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

18. Respondent's actions, done in connection with its provision of service pursuant to its Service Contracts with MSRF, constitutes unfair and unduly discriminatory practices against MSRF in the matter of rates or charges with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(5).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 18 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

19. Respondent's actions with respect to its Service Contracts also have given undue and unreasonable preference and advantage to shippers other than MSRF and imposed undue and unreasonable prejudice and disadvantage on MSRF with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(9).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

To the extent Allegation 19 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

20. Respondent's actions in the course of negotiating its Service Contracts with MSRF and providing service to MSRF pursuant to those Service Contracts constitutes unreasonable refusals to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 20 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

21. Prior to last year, MSRF, like most significant shippers, was able to secure advance service contracts to cover the bulk of its ocean carriage needs at reasonable, pre-negotiated prices.

ANSWER: Respondent Yang Ming lacks knowledge or information to respond to Allegation 21, except that it denies that Complainant is a "significant" shipper in Yang Ming's understanding of the term.

22. In negotiations for the 2021-2022 shipping year, Respondent refused to provide MSRF enough commitments in its advance service contracts, instead providing only a fraction of the space MSRF needed at substantially higher prices, which MSRF accepted in order to secure such space, believing that such higher prices would fully compensate Respondent for current market disruptions.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

To the extent Allegation 22 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming lacks knowledge or information to respond to Allegation 22, except that it denies it had any obligation to provide space or any amount of space to Complainant at any particular price or that it provided insufficient space. Yang Ming lacks knowledge or information to respond to what Complainant believed or did not believe.

23. Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 23 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations. Yang Ming lacks knowledge or information to respond to what Complainant may or may not have done.

24. MSRF and Respondent entered into a written service contract (SC 494721) as that term is defined by 46 U.S.C. Section 40102(21) effective as of May 1, 2021.

ANSWER: Respondent Yang Ming admits that it entered into the service contract 494721 with Complainant alleged in Allegation 24 and that the service contract was initially effective May 1, 2021 but asserts that the service contract includes amendment(s) as well, which constitute part and parcel of the contract.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

25. MSRF and Respondent agreed in the service contract that MSRF would tender a minimum quantity of one hundred (100) forty-foot equivalent units (FEUs) of cargo for shipment by MSRF via ocean vessels from ports in Asia to the United States, and from ports in the United States to Asia at agreed prices.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 25 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations, except that it admits that SC 494721 had an agreed geographic scope and agreed rates. Yang Ming also asserts that the minimum quantity commitment was a total of [] TEUs – divided into [] TEUs in the eastbound direction and [] TEUs in the westbound direction. See Confidential Exhibits 1 and 2.

26. Despite Respondent's contractual commitment to ship the minimum quantity tendered by MSRF, Respondent has continuously refused to provide MSRF more than approximately 4 of the promised 100 FEUs of that allotted space, forcing MSRF to make alternate transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping its cargo altogether.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 26 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations, except that it

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

lacks knowledge or information to respond as to what Complainant did or may have done.

27. Upon information and belief, Respondent is capitalizing on its violations of the Shipping Act alleged herein, by re-selling the capacity allotted to MSRF under the service contract to other shippers on the same spot market at substantially higher rates than those to which it agreed in the service contract.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 27 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

28. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: In response to Allegation 28, Respondent Yang Ming repeats its responses to Allegations 1 through 27, as if set forth in full herein.

29. The foregoing continuous, ongoing conduct by Respondent in connection with its respective receipt, handling, storage, and delivery of the property of MSRF constitutes a failure by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF and other shippers, in violation of 46 U.S.C. Section 41102(c).

ANSWER: Respondent Yang Ming denies the allegations of Allegation 29.

ANSWER: Respondent Yang Ming notes that there are no Allegations numbered 30-47.

48. Complainant repeats and realleges the allegations above as if fully set forth herein.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

ANSWER: In response to Allegation 48, Respondent Yang Ming repeats its responses to Allegations 1 through 47, as if set forth in full herein.

49. The forgoing conduct by Respondent constitutes provisions of service in the liner trade that is not in accordance with the rules and practices contained in its respective service contract with MSRF, to which no exception or exemption applies and which has not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 49 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

50. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: In response to Allegation 50, Respondent Yang Ming repeats its responses to Allegations 1 through 49, as if set forth in full herein.

51. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, constitutes an unfair and unjustly discriminatory practice against MSRF in the matter of rates or charges with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(5).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 51 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

52. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: In response to Allegation 52, Respondent Yang Ming repeats its responses to Allegations 1 through 51, as if set forth in full herein.

53. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, gives undue and unreasonable preference and advantage to shippers other than MSRF and imposes an undue and unreasonable prejudice and disadvantage to MSRF with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(9).

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 53 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

54. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: In response to Allegation 54, Respondent Yang Ming repeats its responses to Allegations 1 through 53, as if set forth in full herein.

55. The foregoing conduct by Respondent in the course of negotiating its service contract with MSRF and providing service to MSRF pursuant to that service contract, which is continuous and ongoing, constitutes unreasonable refusal to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 55 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

56. The foregoing alleged illegal acts of Respondent have directly and proximately injured MSRF by forcing MSRF to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of their respective Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether.

ANSWER: Respondent Yang Ming is without knowledge or information sufficient to respond, as the Complaint does not identify the service contract(s) referenced therein. To the extent Allegation 56 refers to SC 494721 or any other specific service contract between Yang Ming and Complainant, Yang Ming denies the allegations.

57. MSRF has been, and continues to be, actually and materially injured by each Respondent's continuous conduct in violation of the Shipping Act alleged herein.

ANSWER: Respondent Yang Ming denies the allegations of Allegation 57.

58 Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to MSRF in an amount already believed to exceed \$1,000,000, currently accruing, and to be further demonstrated in this proceeding.

ANSWER: Respondent Yang Ming denies the allegations of Allegation 58.

III. DEFENSES AND AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint.
2. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41102(c).
3. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(2).
4. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(5).
5. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(9).
6. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(10).
7. Yang Ming fulfilled (indeed exceeded) its obligation to provide space to Complainant. Any harm experienced by MSRF was as a result of its own failures or inaction.
8. The Federal Maritime Commission lacks the authority to award damages for a breach of contract claim. Pursuant to 46 U.S.C. 40502(f), the exclusive remedy for a breach of a contract is an action in an appropriate court.
9. Respondent Yang Ming fulfilled its obligation to carry cargo for Complainant under the service contract.

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

10. Pursuant to Service Contract 494721, the Parties have agreed that any and all disputes, claims and contest arising out or in connection with any provision of the Service Contract shall be resolved and adjudicated by arbitration proceedings pursuant to the rules applicable under the Society of Maritime Arbitrators for shortened arbitration.

Further, the Parties have agreed that such arbitration shall take place in New York, USA, and have expressly agreed to the application of law of the State of New York.

11. The Shipping Act, 46 U.S.C. 40502(c)(8), provides that parties to service contracts may make provisions for liquidated damages in the event of breach by either the carrier or the shipper. Pursuant to the Service Contract, the Parties agreed upon a provision for liquidated damages, which is the exclusive remedy available to Complainant.

12. Complainant has failed to state a claim against Respondent Yang Ming for which relief can be granted, including for reasons of vagueness.

13. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.

14. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant has failed to mitigate its damages.

15. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant's damages, if any, were caused in whole or in part by Complainant's own conduct.

16. Complainant's claims against Respondent Yang Ming are barred by prior settlement of the claims.

17. Respondent retains the right to amend this answer to raise any additional defenses or affirmative defenses which may arise in the course of this proceeding.

18. Respondent's remedy, if any, is as provided as agreed by Respondent in the Service Contract including any amendments thereto.

19. No oral hearing is requested.

IV. PRAYER

Respondent Yang Ming prays that Complainant take nothing by this proceeding, that all of Complainant's claims be dismissed with prejudice, and that Yang Ming be granted all relief to which it may be entitled.

Dated: September 13, 2022

Respectfully submitted,

By: /s/ Rebecca A. Fenneman

Counsel for YANG MING MARINE TRANSPORT
CORPORATION, Respondent

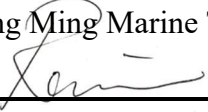
Jeffrey/Fenneman Law + Strategy, PLLC
Rebecca A. Fenneman (DC Bar No. 1722599)
Eric C. Jeffrey (D.C. Bar: No: 252585)
700 12th Street, NW Suite 700
Washington, DC 20005
Tel: (202) 904-2301

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct.

For Yang Ming Marine Transport Corporation:

By: 

Date: September 13 , 2022

Name: Rolly Chien

Title: Vice President

Address: No.271, Ming De 1st Road, Chidu, Keelung, Taiwan(R.O.C.)

Email: rollychien@yangming.com

CERTIFICATE OF SERVICE

I certify that on the 13th day of September, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

ATTORNEYS FOR COMPLAINANT:

CLARK HILL PLC

R. Kevin Williams
Mark R. Ludwikowski
Mark J. Andrews
312.985.5907
kwilliams@clarkhill.com
mludwikowski@clarkhill.com
mandrews@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601

By: Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Tel: (202) 904-2301
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005